

Yellevate

Dispute Analysis

Identifying Circumstances Behind Revenue Loss

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Methodology

Steps that were taken in analyzing the data :

1. Identify the problems.
2. Set data analysis goals.
3. Data gathering & collection
3. Data cleaning and manipulation.
4. Analysis and visualization.
6. Insights and recommendation

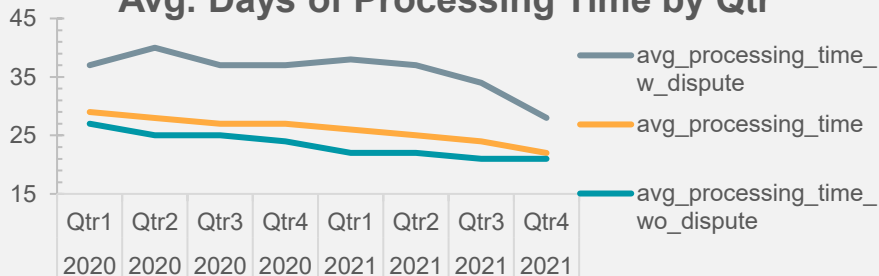
Processing Time

- The average processing time in which invoices are settled is 26 days.
- The average processing time for the company to settle invoices with disputes is 36 days whether the customer paid the invoice, if the dispute was resolved in favor of the customer, or if the decision that the customer does not have to pay was finalized.

Average Days of Processing Time



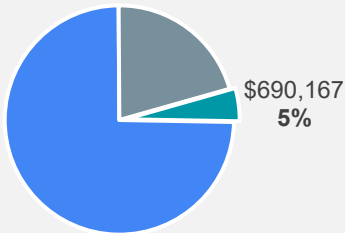
Avg. Days of Processing Time by Qtr



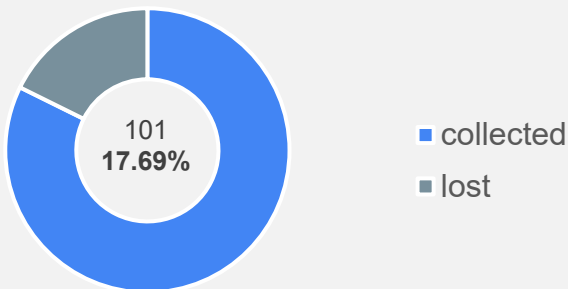
Percentage of Disputes Received & Lost

- The 17.69% of disputes lost suggests that there may be room for enhancement in the company's dispute resolution process. On the other hand, the 18.41% of revenue lost due to disputes signifies a substantial financial impact.

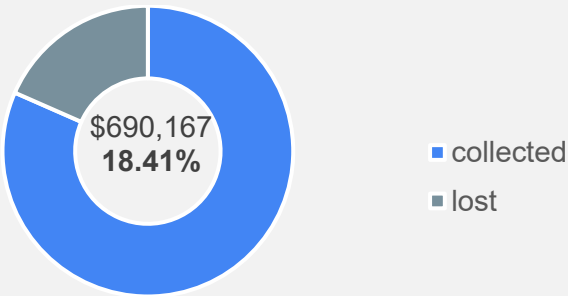
Percentage of Revenue Lost



Received & Lost by Invoices Count



Received & Lost by Invoices Amount



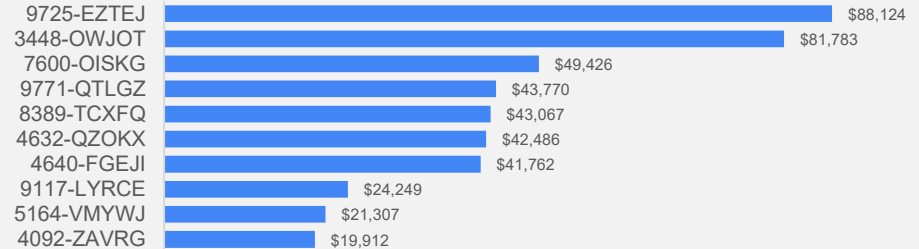
Regional Analysis of Revenue Loss

- *France* has been most affected in terms of losses with a total amount of **\$526,264** and **76%** of the total loss, while *Spain* has been least affected among the five countries with just **2%** of the total loss.
- The highest amount for one client in *France* is a total of **\$88,124**.

Highest Losses by Country



Top 10 Highest Losses by Clients in France



Summary of Insights

- The downtrend in processing time shows invoice handling improvement overall.
- Disputes lost involve higher value transactions, contributing significantly to revenue loss. This could indicate potential issues with high-value transactions leading to disputes.
- Opting out to pay despite quality and completion of service indicates that there was a considerable probability of a loophole in the policy and payment terms that increases the likelihood of disputes which could lead to non-payment.

Conclusion:

To address the business question regarding the circumstances contributing to the 5% annual revenue loss caused by 20% of disputes raised against Yellevate, the analysis suggests that the financial impact comes from two compounding factors:

1. Disputes prolong payment cycles, increasing the average settlement from 26 days to 36 days.
2. Small portion of lost disputes (17.69%) drives a disproportionately large revenue loss (18.41%), largely due to high-value dispute cases.

Recommendations:

- **Contract Review:** Engage legal management experts for comprehensive and precise terms.
- **Focus on High-Value Disputes:** Prioritize resolving disputes involving larger sums.
- **Although the processing time to collect invoice is improving, it needs automation for faster processing.**